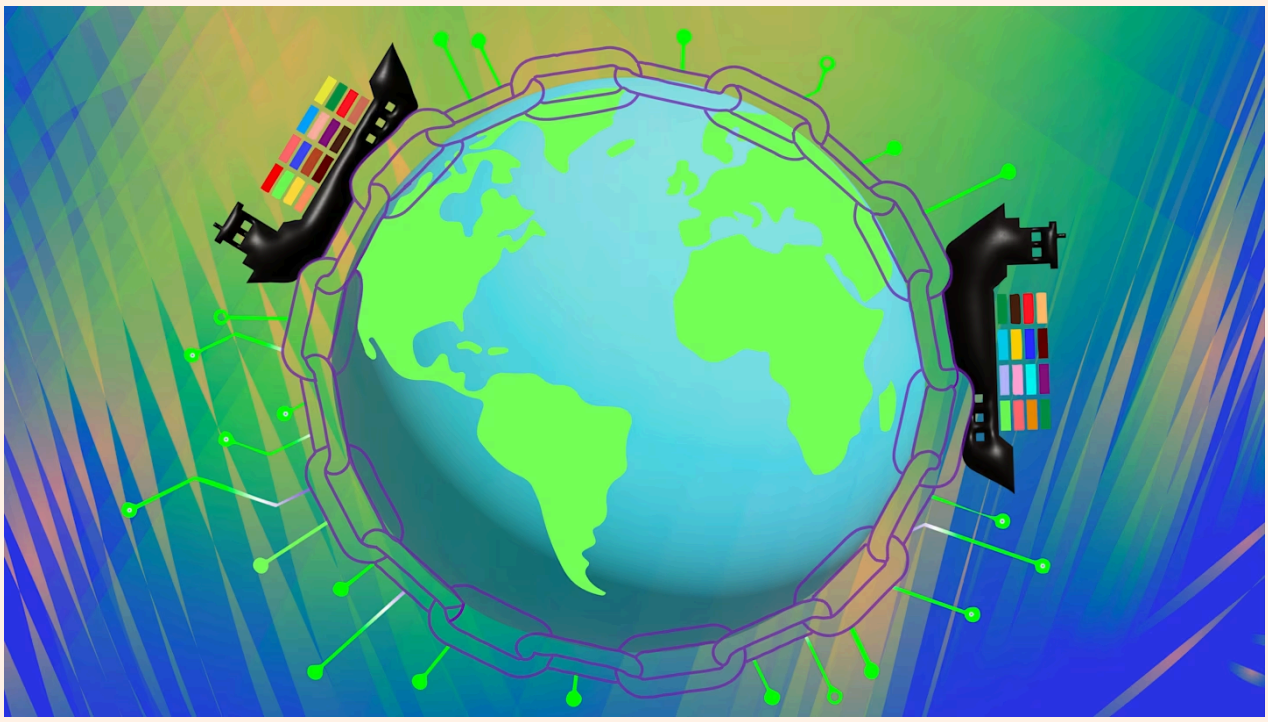
Opinion **Supply chains**

The secret fight around financial flows

Quicker responses to trade challenges mean companies can free up capital

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What on earth — or at sea — is happening with global supply chains? It's a burning question ahead of America's forthcoming corporate earnings season.

It also haunted this week's meetings of the IMF, as its economists scrambled to explain why the global economy has remained surprisingly "resilient" this year, amid (more) war and surging interest rates, oil prices, inflation and debt.

But if you want another insight on the economy, beyond the macro data, it pays to peer at the people directly handling the granularity of 21st-century globalisation, such as corporate treasurers.

Normally, this tribe tends to be ignored. Treasurers are publicity shy by nature and there is limited public data about their activities. But, as any rookie journalist knows, "follow the money" is always a good mantra.

And right now it seems that companies have not only restructured their physical supply chains, but are quietly starting to reform their payment chains too. That could impact the future of finance — even the dollar.

The issues are set out in a fascinating recent study by Citigroup that draws on its internal client payments data, alongside a survey. This shows that trade has indeed stayed buoyant, echoing the IMF report and recent analysis from DHL and NYU Stern. Despite US tariffs and the Iran conflict, Citi's payment network data showed 40 per cent year-on-year growth for commercial trade flows across all sectors in H1 2026, it says. Wow.

This growth partly reflects the fact that trade has been rerouted to avoid tariffs. China, for example, is now sourcing more agricultural products from Latin America than American farmers, and the US share of Chinese automotive exports has fallen from 33 per cent in 2022 to 13 per cent, while emerging market sales soared.

Another factor is that trade linked to AI investments — say, around chips — has exploded. Thus tech-export payments have grown 50 per cent year on year, Citi says, with a 90 per cent surge between Taiwan and Singapore. No wonder many company bosses sound upbeat even as the IMF warns that global growth is dangerously reliant on that AI boom.

What is much less clear, though, is the detail of what is happening in financing supply chains. Unsurprisingly, treasurers fret about surging inflation and interest rates. But 72 per cent say their top priority now is extracting trapped liquidity from supply chains they have restructured, much higher than before.

"Treasury functions are being asked to surface cash that has been embedded in supplier relationships [and] inventory positions," Citi says.

In response, some treasurers are forcing their suppliers to hold more inventory (and thus bear liquidity risks). But the tech is helping: 45 per cent are using AI for supply chain management, up from 16 per cent two years ago, and 72 per cent are using new digital technologies like blockchain, up from 57 per cent in 2024. That is remarkable, particularly given that non-financiers often assume that the only people using distributed ledgers are punters holding bitcoin or crooks.

In some ways, all this is good news. JPMorgan (which, like Citi, also has many treasurers as clients) reckons that S&P 1500 companies have over $700bn of trapped liquidity inside supply chains because of financing system inefficiencies. Hackett consulting group puts that even higher, at $1.7tn.

Either way, what is clear is that treasurers face pressure to overhaul custody, liquidity and payments. For while markets are moving faster — and tokenisation will accelerate this speed, as the IMF noted last week — treasury departments used to be cumbersome and slow. The velocity and efficiency of financial flows are changing — just as cell phones have revolutionised how we communicate.

But there are three broader implications of this shift that investors should note. First: greater use of digitisation and AI will make future supply chains even more vulnerable to cyber attacks. Second: the unexpectedly high levels of blockchain usage will also make it much easier for companies to move away from a dollar-centred payment system in the future — if they wish — since it is easier to use a variety of currencies for cross-border trades.

That has not happened yet: the dollar remains dominant in global trade invoicing, research shows. But watch out if geopolitical splits worsen.

Third: the hunt for spare liquidity suggests that many C-suites feel more uneasy about the future than ebullient corporate reports might imply. For aside from tech reform, companies are almost certainly motivated by the need to contend with rising investment pressures, higher interest rates and uncertainty.

It is, if you like, the corporate equivalent of hunting for spare pennies down the back of the proverbial sofa — a way to get more resources.

Hence why economists and investors should not only watch shifts in physical supply chains (ie trade) but the less visible financial chains too. Money talks — and right now we are moving from a world of abundant liquidity and quasi-free cash to a place of rising competition for capital. That matters — as even tech companies are starting to learn.

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